25STCV11100 25STCV11100

County: los-angeles

Division: Civil Law and Motion

Department: 408

Hearing date: 2026-06-29

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C408%2C06%2F29%2F2026

Source SHA-256: f6f2d660c426d59f7831b75e058ad19a653377a9472486898522774785e56385

Case Number: 25STCV11100 Hearing Date: June 29, 2026 Dept: 408

1. Defendants Ronald Perlstein, The Ronald Perlstein Profit Sharing Plan FBO, The Entrust Group, and Story Investment LLC’s Demurrer to Plaintiff Linda Veerkamp’s First Amended Complaint is SUSTAINED.

2. Defendants Fleet Capital, Inc. Sam Ostayan, and Adam Garisad’s Demurrer to Plaintiff Linda Veerkamp’s First Amended Complaint is SUSTAINED.

3. Defendants Equity Funding Source, Inc. and Judith Krug’s Demurrer to Plaintiff Linda Veerkamp’s First Amended Complaint is SUSTAINED.

4. Defendants Fidelity National Title Company and Vicky Ezell’s Demurrer to Plaintiff Linda Veerkamp’s First Amended Complaint is SUSTAINED.

The court will inquire at the hearing whether leave to amend should be granted.

I. BACKGROUND

On April 15, 2025, Plaintiff Linda Veerkamp (“Plaintiff”) filed a complaint against Defendants Ronald Perlstein (“Perlstein”), The Ronald Perlstein Profit Sharing Plan FBO (“Perlstein Profit Sharing Plan”), The Entrust Group (“Entrust”), Story Investment LLC (“Story Investment”), Vicky Ezell (“Ezell”), Fidelity National Title Company (“Fidelity”), Kathleen Herrera (“Herrera”), Western Fidelity Trustee (“Western Fidelity”), Farmers and Merchants Bank of Long Beach (“F&M”), American Trust Escrow (“American Trust”), Chris Fontes (“Fontes”), Equity Funding Source, Inc. (“Equity Funding”), Judith Krug (“Krug”), Fleet Capital, Inc. (“Fleet”), Sam Ostayan (“Ostayan’’), and Adam Garisad (“Garisad”, collectively “Defendants”) regarding the real property located at 18320 Regina Avenue, Torrance, CA (“Subject Property”) alleging causes of action for:

1. Wrongful Foreclosure;

2. Fraud and Intentional Misrepresentation of Fact/Deceit;

3. Breach of Fiduciary Duties;

4. Breach of Contract;

5. Violation of Bankruptcy Automatic Stay (11 U.S.C. § 362);

6. Unjust Enrichment;

7. Conversion;

8. Constructive Trust;

9.
Intentional
Infliction of Emotional Distress;

10. Negligence;

11. Injunction Business & Professions § 17200 (Unfair
Business Practices);

12. Declaratory Relief; and

13. Quiet Title.

On June 17, 2025, Ostayan, Fleet, and Garisad filed a Notice of Removal to Federal Court.

On July 3, 2025, Plaintiff filed a First Amended Complaint ("FAC") in Federal Court.

On December 8, 2025, the court received Notice of Remand.

On February 19, 2026, the court sustained American Trust, Fontes, and F&M's Demurrers to Plaintiff's FAC. The court also granted F&M's Motion to Strike portions of Plaintiff's FAC.

On April 15, 2026, the court denied Plaintiff's Motion for Leave to File a Second Amended Complaint.

On April 24, 2026, Perlstein, Perlstein Profit Sharing Plan, Entrusts, and Story Investment ("Perlstein Defendants") filed a Demurrer to Plaintiff's First Amended Complaint ("Perlstein Demurrer"). On June 18, 2026, Perlstein Defendants filed a reply. On June 22, 2026, Plaintiff filed an opposition.[1]
On June 22, 2026, Perlstein Defendants filed a supplemental reply.

On May 1, 2026, Equity Funding and Krug ("Krug Defendants") filed a Demurrer to Plaintiff's First Amended Complaint ("Krug Demurrer"). No opposition or other responsive pleading has been filed.

On May 5, 2026, Ostayan, Fleet, and Garasad ("Ostayan Defendants") filed a Demurrer to Plaintiff's First Amended Complaint ("Ostayan Demurrer"). On May 21, 2026, Plaintiff filed an opposition. On May 26, 2026, Ostayan Defendants filed a reply.

On May 19, 2026, Fidelity and Ezell ("Ezell Defendants") filed a Demurrer to Plaintiff's First Amended Complaint ("Ezell Demurrer"). No opposition or other responsive pleading has been filed.

II. PERLSTEIN DEMURRER

A. Legal Standard

"The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of" various grounds listed in statute. (Code Civ. Proc., § 430.10.)

When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Ibid.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Id.; Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 245.)

B. Discussion

Perlstein Defendants demur to the first through thirteenth causes of action in Plaintiff’s FAC pursuant to Code of Civil Procedure section 430.10, subdivision (e), on the grounds that Plaintiff fails to state sufficient facts to constitute such causes of action.

1.
Request for Judicial Notice

Perlstein Defendants’ request for judicial notice is granted. This court may take judicial notice of the records of any court of record of the United States. (Evid. Code, § 452, subd. (d).)

2.
First Cause of Action – Wrongful Foreclosure

“The elements of a wrongful foreclosure cause of action are: (1) The trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.” (Citrus El Dorado, LLC v. Chicago Title Co. (2019) 32 Cal.App.5th 943, 948 [quotation marks and brackets omitted].)

The FAC alleges that Perlstein provided Plaintiff a private loan of approximately $370,000, as a custodian for Entrust, secured by a deed of trust over the Subject Property. (FAC, ¶¶ 44, 61.) Perlstein subsequently foreclosed on the Subject Property following Plaintiff’s default on the loan and a trustee’s sale was conducted on May 7, 2026. (Id., ¶ 28.) The SAC further alleges that Perlstein had no authority to extend a loan to Plaintiff making the foreclosure process illegal and failed to meet their obligations under California law to provide a fair and lawful foreclosure process. (Id., ¶¶ 96-97.)

Perlstein

Defendants argue that the wrongful foreclosure claim fails as Plaintiff does not sufficiently allege that Perlstein lacked authority to foreclose or that the foreclosure was void. (Perlstein Demurrer, at pp. 6-7.) Perlstein Defendants also argue that Plaintiff does not allege an ability to tender or facts excusing tender. (Id., ¶ 7.)_

The court finds that Plaintiff fails to allege sufficient facts to assert a wrongful foreclosure claim. Although Plaintiff alleges that the foreclosure of the Subject Property was improper as Perlstein had no authority to issue the loan, the FAC does not dispute that Perlstein actually tendered a secured loan to Plaintiff nor that Plaintiff defaulted on such loan. (Id., ¶ 51.) Moreover, a plaintiff is "required to allege tender of the amount of . . . indebtedness in order to maintain any cause of action for irregularity in the sale procedure . . . ." (Abdallah v. United Savings Bank (1996) 43 Cal.App.4th 1101, 1109.) Plaintiff has failed to allege that she tendered the amount of the secured indebtedness or was excused from tendering to support a wrongful foreclosure cause of action.

Accordingly, the demurrer is sustained as to the first cause of action.

3. Second Cause of Action - Fraud and Intentional Misrepresentation of Fact/Deceit

"The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

Perlstein Defendants argue that Plaintiff cannot maintain claims for fraud as the FAC fails to plead the required elements with particularity. (Perlstein Demurrer, at p. 7.)

In support of the fraud claims, the FAC alleges that Perlstein knowingly made false representations to Plaintiff as to the terms and conditions of the loan secured by the Subject Property, misrepresenting their legal authority to initiate and conduct the foreclosure proceedings, falsifying foreclosure-related documents, including the Notice of Default and Notice of Trustee Sale, with inflated and inaccurate amounts; and concealing material facts as to the parties involved in the foreclosure auction. (FAC, ¶ 102.)

The court finds that Plaintiff failed to allege the fraud claims with the required specificity. Although Plaintiff alleges general misrepresentations made by Perlstein, the court requires more specificity and clarity as to the fraudulent statements made. Without a clear layout of the purported fraudulent conduct and the corresponding actor, the court is unable to ascertain the basis for Plaintiff's fraud claim.

Accordingly, the demurrer is sustained as to the second cause of action.

4. Third Cause of Action - Breach of Fiduciary Duties

"The elements of a cause of action for breach of fiduciary duty are the existence of a fiduciary relationship, breach of fiduciary duty, and damages." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 820.)

Perlstein Defendants argue that Plaintiff cannot maintain a cause of action for breach of fiduciary duty as Perlstein did not owe a fiduciary duty to Plaintiff as matter of law based in Perlstein's capacity as a lender. (Perlstein Demurrer, at pp. 8-9.)

The FAC alleges that that Defendants owed Plaintiff a fiduciary duty to act in good faith, provide accurate information, and protect Plaintiff's interests in all transactions related to the Subject Property. (FAC, ¶ 111.)

The court finds that Plaintiff fails to allege the existence of a fiduciary relationship with Perlstein. “The relationship between a lending institution and its borrower-client is not fiduciary in nature.” (Nymark v. Heart Fed. Sav. & Loan Assn. (1991) 231 Cal. App. 3d 1089, 1093, fn. 1.) As Plaintiff alleges that Perlstein was the lender of a loan secured by the Subject Property and acted under that capacity, there is no indication that their lender-borrower relationship can support a breach of fiduciary duty claim.

Accordingly, the demurrer is sustained as to the third cause of action.

5. Fourth Cause of Action – Breach of Contract

To state a cause of action for breach of contract, a plaintiff must be able to establish “(1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (Oasis, supra, 51 Cal.4th at 821.) If a breach of contract claim “is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference.” (Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 299, 307.) In some circumstances, a plaintiff may also “plead the legal effect of the contract rather than its precise language.” (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198-199.)

Perlstein Defendants argue that Plaintiff cannot maintain a cause of action for breach of contract against Perlstein and Story Investment as the FAC fails to identify any contractual provision that Defendants allegedly breached. (Perlstein Demurrer, at pp. 7-8.)

The FAC alleges that Plaintiff entered into written agreements related to the Subject Property. (FAC, ¶ 117.) Plaintiff alleges that such agreements contained both express and implied terms requiring Defendants to act in good faith, provide accurate information, and comply with all applicable laws and regulations. (Ibid.) Plaintiff further alleges that Defendants breached these agreements in failing to provide accurate and timely notices related to the foreclosure process; failing to account for payments made by Plaintiff accurately; falsifying foreclosure-related documents; engaging in unlawful and fraudulent conduct that undermined the contractual relationship between the parties. (Id., ¶ 118.)

The court finds that Plaintiff's allegations regarding the existence of a contract and the purported breach are vague and conclusory. The court cannot ascertain the terms of the distinct contracts alleged and how each defendant breached such terms. Plaintiff merges multiple contracts and purported breaches involving various Defendants into two broad allegations. Without more, the court cannot determine that the breach of contract claim was sufficiently pled.

Accordingly, the demurrer is sustained as to the fourth cause of action.

6. Fifth Cause of Action - Violation of Bankruptcy Automatic Stay

As to the fifth cause of action, the court notes that the Federal District Court granted Perlstein and Story Investment's motion to dismiss the claim for violation of the bankruptcy automatic stay from Plaintiff's FAC without leave to amend. (RJN, Exh. 1.) Accordingly, the demurrer is sustained as to the fifth cause of action without leave to amend.

7. 6th Cause of Action - Unjust Enrichment

"The elements for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched." (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769 [quotation marks and citations omitted].)

The FAC alleges that Defendants have been unjustly enriched at Plaintiff's expense by profiting from the foreclosure sale of the Subject Property without lawful authority and obtaining Plaintiff's equity in the Subject Property through fraudulent and unlawful means. (FAC, ¶ 130.)

The court finds that Plaintiff's claim for unjust enrichment is unsupported as Plaintiff fails to allege a claim for wrongful closure. Moreover, "[u]njust enrichment is not a cause of action"; it is simply "a restitution claim." (Hill v. Roll International Corp. (2011) 195 Cal.App.4th 1295, 1307; see also Melchior v. New Line Productions, Inc. (2003) 106 Cal.App.4th 779, 793 ["there is no cause of action in California for unjust enrichment"].)

Accordingly, the demurrer is sustained as to the sixth cause of action.

8. 7th Cause of Action – Conversion

"Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.)

The FAC alleges that Defendants wrongfully converted the Subject Property by engaging in fraudulent foreclosure proceedings, taking possession of the Subject Property without lawful authority, and transferring ownership of the Subject Property to third parties based on invalid and fraudulent foreclosure actions. (FAC ¶ 135.)

The court finds that Plaintiff's conversion claim fails as the FAC does not establish that Defendants wrongfully foreclosed on the Subject Property as noted above. Moreover, "[t]he tort of conversion applies to personal property, not real property." (Salma v. Capon (2008) 161 Cal.App.4th 1275, 1295.) As Plaintiff's conversion claim alleges conversion of real property, the cause of action fails as a matter of law.

Accordingly, the demurrer is sustained as to the seventh cause of action without leave to amend.

9. 8th Cause of Action – Constructive Trust

"A cause of action for constructive trust is not based on the establishment of a trust, but consists of fraud, breach of fiduciary duty or other act which entitles the plaintiff to some relief. Relief, in a proper case, may be to make the defendant a constructive trustee with a duty to transfer to the plaintiff. [Citation] Pleading requirements are: (1) facts constituting the underlying cause of action, and (2) specific identifiable property to which defendant has title." (Michaelian v. State Comp. Ins. Fund (1996) 50 Cal. App. 4th 1093, 1114.) A constructive trust requires a plaintiff to "adequately plead facts in the underlying complaint that would entitle the plaintiff to such a remedy." (Campbell v. Superior Court (2005) 132 Cal.App.4th 904, 921-922.)

As the court finds that Plaintiff failed to allege an underlying cause of action to support a constructive trust claim, the eight cause of action is not sufficiently pled.

Accordingly, the demurrer is sustained as to the eighth cause of action.

10. 9th Cause of Action – Intentional Infliction of Emotional Distress

"The elements of a prima facie case for the tort of intentional infliction of emotional distress are: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. Conduct to be outrageous must be so extreme as to exceed all bounds of that usually tolerated in a civilized community." (Wilson v. Hynek (2012) 207 Cal.App.4th 999, 1009 [citation and ellipses omitted].)

The FAC alleges that Defendants engaged in conduct that was extreme and outrageous as Perlstein and Herrera fraudulently initiated and carried out a wrongful foreclosure process; Perlstein, Garasad, and Ostayan falsified documents and concealing material facts to deceive Plaintiff; and Garasad and Ostayan pursued eviction proceedings without lawful authority. (FAC, ¶ 145.)

The court finds that Plaintiff fails to allege a claim for intentional infliction of emotional distress as Plaintiff fails to sufficiently allege the extreme and outrageous conduct in more than vague and conclusory allegations. Without more clarity and a clear layout of the facts supporting Plaintiff's contention that Defendants carried out a fraudulent and wrongful foreclosure on the Subject Property, the court cannot find that such general allegations support this cause of action.

Accordingly, the demurrer is sustained as to the ninth cause of action.

11. 10th Cause of Action – Negligence

In order to state a claim for negligence, Plaintiff must allege the elements of (1) "the existence of a legal duty of care," (2) "breach of that duty," and (3) "proximate cause resulting in an injury." (McIntyre v. Colonies-Pacific, LLC (2014) 228 Cal.App.4th 664, 671.)

Perlstein Defendants argue that the negligence claim fails as to Entrust as Plaintiff fails to allege any legal duty owed by Entrust acting as a custodian of a self-directed IRA. (Perlstein Demurrer, at p. 14.)

The FAC alleges that Entrust was the legal custodian of a self-directed IRA account held for the benefit of Perlstein and failed to prevent Perlstein from executing instruments falsely claiming custodial authority; confirm the legality of the underlying "Profit Sharing Plan" structure; and monitor or reject a transaction that resulted in wrongful foreclosure. (FAC, ¶¶ 67, 64.)

The court finds that Plaintiff failed to provide any authority in opposition to find that Entrust owed Plaintiff a legal duty of care arising from its role as the legal custodian of a retirement account for the benefit of Perlstein.[2] Moreover, it appears that the negligence claim is based on the conduct alleged for other Defendants which also appears insufficient to support such cause of action. (FAC, ¶¶ 151-152.)

Accordingly, the demurrer is sustained as to the tenth cause of action.

12. 11th Cause of Action – Unfair Business Practices

To set forth a claim for a violation of Business and Professions Code section 17200 (“UCL”), a plaintiff must establish defendant was engaged in an “unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising” and certain specific acts. (Bus. & Prof. Code, § 17200

The court finds that Plaintiff’s UCL claim fails as it based on the conduct alleged in support of the other causes of actions. A cause of action for unfair competition “is not an all-purpose substitute for a tort or contract action.” (Cortez v. Purolator Air Filtration Products Co. (2000) 23 Cal.4th 163, 173.)

Accordingly, the demurrer is sustained as to the eleventh cause of action.

13. 12th and 13th Causes of Action – Declaratory Relief and Quiet Title

“The elements of a cause of action for injunctive relief are (1) a tort or other wrongful act constituting a cause of action; and (2) irreparable injury, i.e., a factual showing that the wrongful act constitutes an actual or threatened injury to property or personal rights which cannot be compensated by an ordinary damage award.” (Brownfield v. Daniel Freeman Marina Hospital (1989) 208 Cal.App.3d 405, 410 [citation omitted].) Notably, “injunctive relief is a remedy and not, in itself, a cause of action, and a cause of action must exist before injunctive relief can be granted.” (Camp v. Board of

Supervisors (1981) 123 Cal.App.3d 334, 356.)

An action for quiet title seeks “to establish title against adverse claims to real or personal property or any interest therein.” (Code Civ. Proc., § 760.020, subd. (a).) In an action for quiet title, Plaintiff must plead (1) “[a] description of the property that is the subject of the action,” specifically the location of tangible personal property and the legal description and street address or common designation of real property, (2) “[t]he title of the plaintiff as to which a determination under this chapter is sought and the basis of the title,” (3) “[t]he adverse claims to the title of the plaintiff against which a determination is sought,” (4) “[t]he date as of which the determination is sought,” and (5) “[a] prayer for the determination of the title of the plaintiff against the adverse claims.” (Code Civ. Proc., § 761.020.)

The court finds that as Plaintiff fails to allege a viable claim for wrongful foreclosure of the Subject Property, Plaintiff fails to provide sufficient grounds to support the declaratory relief and quiet title causes of action.

Accordingly, the demurrer is sustained as to the twelfth and thirteenth causes of action.[3]

III. OSTAYAN DEMURRER

A. Legal Standard

See above.

B. Discussion

Ostayan Defendants demur to the first, second, fourth, and sixth through thirteenth causes of action in Plaintiff’s FAC pursuant to Code of Civil Procedure section 430.10, subdivision (e), on the grounds that Plaintiff fails to state sufficient facts to constitute such causes of action.

1.
Request for Judicial
Notice

Ostayan Defendants' request for judicial notice is granted. This court may take judicial notice of the records of any court of record of the United States. (Evid. Code, § 452, subd. (d).)

2. Res Judicata/Collateral
Estoppel

"The tenets of res judicata prescribe the preclusive effect of a prior final judgment on the merits. [Citation.] The doctrine has two distinct aspects: claim preclusion and issue preclusion.¿ .¿.¿. Claim preclusion, often referred to as res judicata, provides that 'a valid, final judgment on the merits precludes parties or their privies from relitigating the same 'cause of action' in a subsequent suit.' [Citation.] Issue preclusion, or collateral estoppel, '¿"precludes relitigation of issues argued and decided in prior proceedings."¿' [Citation.]" (City of Oakland v. Oakland Police & Fire Retirement System (2014) 224 Cal.App.4th 210, 227-228.)

Both require that (1) a claim or issue raised in the present action is identical to a claim litigated in a prior proceeding; (2) the prior proceeding resulted in a final judgment on the merits; and (3) the party against whom the doctrine is being asserted was a party or in privity with a party to the prior proceeding. (Brinton v. Bankers Pension Services, Inc. (1999) 76 Cal.App.4th 550, 556.)¿The scope of the rule extends further to matters that could have been raised even if the matter was not expressly pleaded or otherwise urged. (Bucur v. Ahmad (2016) 244 Cal.App.4th 175, 185.)

Ostayan
Defendants argue that Plaintiff's allegations against them are barred by a previous unlawful detainer judgment against Plaintiff and subsequent denial of Plaintiff's motion for reconsideration based on the same conduct pled in the FAC. (Ostayan Demurrer, at pp. 4-5; RJN, Exh. 2.)

The
FAC alleges that a trustee sale for the Subject Property occurred on May 7, 2024, after the dismissal of Plaintiff's Chapter 13 bankruptcy. (FAC, ¶¶ 35, 87.) The FAC further alleges that Garasad

was the purported highest bidder at the foreclosure auction. (Ibid.) However, Plaintiff alleges that Garasad's uncle, Ostayan, attended the foreclosure sale and placed a bid on behalf of Garasad. (Id., ¶ 42.) Plaintiff further alleges that the unlawful detainer complaint Garasad filed on July 9, 2024, falsely claiming that Garasad was the highest bidder despite Ostayan actually making the bid and relied on void title. (Id., ¶ 35.) Plaintiff further argues that Fleet fraudulently recorded a loan to enable title transfer. (Id., ¶ 92.)

The court finds that Plaintiff's claims against Ostayan Defendants are precluded by the judgment and motion for reconsideration in the previous unlawful detainer action as the causes of action asserted in the FAC relate to Ostayan Defendants' alleged conduct during the foreclosure sale. (RJN, Exh. 2; Malkoskie v. Option One Mortgage Corp. (2010) 188 Cal.App.4th 968, 973-975 [when a judgment is issued in an unlawful detainer action under Code of Civil Procedure section 1161a, it has a preclusive effect in subsequent actions and bars the re-litigation of any issues embraced within the prior unlawful detainer case.]; Code Civ. Proc., § 1161a, subd. (b)(3) [an unlawful detainer action may be filed "[w]here the property has been sold in accordance with Section 2924 of the Civil Code, under a power of sale contained in a deed of trust…and the title under the sale has been duly perfected."]; see also Vella v. Hudgins (1977) 20 Cal.3d 251, 256 ["subsequent fraud or quiet title suits founded upon allegations of irregularity in a trustee's sale are barred by the prior unlawful detainer judgment."].)

Nevertheless, even if the doctrine of res judicata and collateral estoppel does not preclude the causes of action alleged in the FAC, the court finds that Plaintiff fails to allege sufficient facts to support the claims asserted against Ostayan Defendants. As initial matter, Plaintiff's wrongful foreclosure claim fails as to Ostayan and Garasad as neither defendant is alleged to have caused the foreclosure sale or that they were involved beyond their role as bidders. (FAC, ¶ 42.) Moreover, the deficiencies noted above regarding Plaintiff's lack of clarity and vague allegations as to the remaining causes of action also provide grounds to find that the derivative causes of action against Ostayan Defendants are insufficiently pled. Based on the limited allegations asserted regarding Ostayan Defendants' conduct in the foreclosure sale, the court cannot find that Plaintiff assert any viable claim against them. Additionally, the seventh cause of action for conversation claim fails as a matter of law for the reasons stated above.

Accordingly, the demurrer is sustained in its entirety.

IV.
KRUG
DEMURRER

A.
Legal Standard

See above.

B. Discussion

Krug Defendants demur to the third, fourth, sixth, seventh, eighth, tenth, eleventh, and twelfth causes of action in Plaintiff's FAC pursuant to Code of Civil Procedure section 430.10, subdivision (e), on the grounds that Plaintiff fails to state sufficient facts to constitute such causes of action.

The court notes that Plaintiff failed to file an opposition, effectively consenting to the court sustaining the demurrer without leave to amend. (Cal. Rules of Court, rule 8.54, subd. (c) ["A failure to oppose a motion may be deemed a consent to the granting of the motion."]; Sexton v. Superior Court (1997) 58 Cal.App.4th 1403, 1410.)

Accordingly, the demurrer is sustained in its entirety.

V.
EZELL
DEMURRER

A.
Legal Standard

See above.

B. Discussion

Ostayan Defendants demur to the entirety of Plaintiff's FAC pursuant to Code of

Civil Procedure section 430.10, subdivision (e) and (f), on the grounds that Plaintiff fails to state sufficient facts to constitute any cause of action.

The court notes that Plaintiff failed to file an opposition, effectively consenting to the court sustaining the demurrer without leave to amend. (Cal. Rules of Court, rule 8.54, subd. (c) ["A failure to oppose a motion may be deemed a consent to the granting of the motion."]; Sexton v. Superior Court (1997) 58 Cal.App.4th 1403, 1410.)

Accordingly, the demurrer is sustained in its entirety.

VI.
CONCLUSION

1. Defendants Ronald Perlstein, The Ronald Perlstein Profit Sharing Plan FBO, The Entrust Group, and Story Investment LLC's Demurrer to Plaintiff Linda Veerkamp's First Amended Complaint is SUSTAINED.

2. Defendants Fleet Capital, Inc. Sam Ostayan, and Adam Garisad's Demurrer to Plaintiff Linda Veerkamp's First Amended Complaint is SUSTAINED.

3. Defendants Equity Funding Source, Inc. and Judith Krug's Demurrer to Plaintiff Linda Veerkamp's First Amended Complaint is SUSTAINED.

4. Defendants Fidelity National Title Company and Vicky Ezell's Demurrer to Plaintiff Linda Veerkamp's First Amended Complaint is SUSTAINED.

The court will inquire at the hearing whether leave to amend should be granted.

[1] In reply, Perlstein Defendants argue that Plaintiff's opposition is untimely and request the court to not consider late-filed papers. (Supp. Reply, at p. 2.) In the interest of justice and in favor of adjudicating the issues on the merits, the court will exercise its discretion to consider the opposition despite any procedural defects.

[2] The
court also finds that the allegations as to Entrust fail to support the remaining causes of action asserted against all Defendants, including the fourth cause of action for breach of contract, sixth cause of action for unjust enrichment, seventh cause of action for conversion, eight cause of action for constructive trust, eleventh cause of action for unfair business practices, twelfth cause of action for declaratory relief, and thirteenth cause of action for quiet title.

[3] The
court finds that the causes of action alleged against Story Investments fail as Plaintiff does not allege sufficient facts to support such claims. The FAC alleges that F&M sold Plaintiff's first position mortgage loan and servicing agreement to Story Investments on March 7, 2024, without the knowledge or approval of the Bankruptcy Court overseeing Plaintiff's Chapter 13 bankruptcy proceedings. (FAC, ¶ 8.) As the district court dismissed the fifth cause of action for violation of bankruptcy automatic stay finding that such alleged conduct fails to support such claim and no other conduct is alleged, the FAC fails to plead any basis for liability against Story Investment. RJN, Exh. 1.) Accordingly, the demurrer is sustained as to Story Investments.